Churn Reason Tagging

Process Guide for Relationship Managers

Drawbridge | RM Team | March 2026

Purpose

Every time a client does not renew, we tag the reason in Salesforce. This isn't a paperwork exercise — it's how we build the data to understand what's driving churn, make the case for investments, and have honest coaching conversations about what's in our control.

The data is only useful if the tags are consistent and accurate. This guide tells you exactly how to tag, when to tag, and how to handle edge cases.

The Golden Rule

> Tag the most proximate cause at the time of non-renewal. When multiple factors contributed, ask: what was the tipping point that made the client decide not to renew? That is the tag.

Example: A client's CCO left the firm six months ago. The new CCO came in and chose a competitor. The tipping point was Champion Departure — not Lost to Competitor. The competitive loss was downstream of the relationship failure.

When to Tag

1. You receive a non-renewal notice, or a renewal conversation ends without commitment.
2. Before closing the opportunity as Closed Lost in Salesforce, select a Churn Reason tag.
3. Complete the Win/Loss Description field — minimum 2-3 sentences. What did the client say? What do you believe the real reason was? What, if anything, could have prevented it?
4. Bring the tag + notes to your next 1:1 with Chris. Tags are reviewed and confirmed before they are final — do not self-finalize.

> If you genuinely cannot determine the correct tag, leave a note in Win/Loss Description and flag it for 1:1 review. Do not guess. There is no 'Other' option — every churn maps to one of the seven tags.

The Seven Tags

Choose the one tag that best describes the proximate cause. Definitions and guidance below.

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1. Lost to Competitor

The client selected a competing cybersecurity/compliance vendor, MSP, bundled platform, or consulting firm over Drawbridge.

When to use this tag:

- Client explicitly named a competitor they are moving to (e.g., ACA ComplianceAlpha, an MSP, RSM, a boutique cyber firm)
- Client received a competing proposal and chose it on price, features, or relationship
- Client chose a bundled solution (e.g., a larger IT/MSP firm that includes cyber) over Drawbridge's pure-play offering

Do NOT use this tag if:

- The client is building the capability internally — that is Brought In-House
- The client's key contact left and the new person brought in a competitor — that is Champion Departure (the relationship loss came first)
- The client cited price but you believe the real issue was not seeing the value — consider Insufficient Value Realized

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2. Insufficient Value Realized

The client did not experience enough ROI, utility, or outcomes to justify renewal. This tag covers pricing objections, low platform adoption, product capability gaps, and budget cuts — because price is almost always a symptom of a value failure, not a standalone reason.

When to use this tag:

- Client said the product wasn't worth the cost, didn't justify the spend, or they could get 'good enough' elsewhere for less
- Client was a low adopter of the platform — rarely logged in, didn't complete assessments, didn't engage with advisory
- Client cited a specific product gap or missing feature as the reason they couldn't renew
- Budget was cut and cyber was deprioritized — the underlying issue is that Drawbridge hadn't made itself indispensable
- Client going without a vendor at all — they don't see enough value to pay anyone

Do NOT use this tag if:

- Client selected a specific named competitor — that is Lost to Competitor

- Client is building internal capability — that is Brought In-House
- The decision-maker who valued the relationship left — that is Champion Departure

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3. Brought In-House

The client hired or built internal cybersecurity/compliance capabilities to replace Drawbridge's outsourced services.

When to use this tag:

- Client hired a CISO, dedicated compliance officer, or internal cyber team
- Client explicitly stated they are taking the function in-house
- Client is at a growth stage (typically $5B+ AUM) where internal capability becomes cost-competitive

Do NOT use this tag if:

- Client is moving to a competitor firm — that is Lost to Competitor
- Client just said they want to cut costs — that is more likely Insufficient Value Realized unless internal hire is confirmed

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4. Business Wind-Down

The client firm, fund, or entity ceased operations — including fund liquidation, firm dissolution, voluntary wind-down, or family office conversion.

When to use this tag:

- Fund or firm closed, wound down, or ceased active operations
- Client converted to a family office and no longer requires institutional-grade cyber compliance
- Client fund was liquidated with no successor entity

Do NOT use this tag if:

- The firm was acquired and the acquirer chose not to continue Drawbridge — that is M&A / Organizational Change
- The firm downsized but continues operating — that is likely Insufficient Value Realized or Lost to Competitor

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5. M&A / Organizational Change

The client was acquired, merged with another entity, reorganized, or subject to a PE parent vendor mandate that displaced Drawbridge.

When to use this tag:

- Client firm was acquired by another entity and the acquirer uses a different vendor
- Fund merged into another fund vehicle and the successor entity has existing coverage
- PE sponsor or parent company mandated a different cybersecurity vendor across the portfolio
- Organizational restructuring resulted in the client entity no longer being a standalone Drawbridge client

Do NOT use this tag if:

- The firm simply ceased operations with no acquisition — that is Business Wind-Down
- An individual left the firm — that is Champion Departure (unless it triggered a broader org change)

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6. Champion Departure

The key decision-maker or sponsor (CCO, COO, CISO, or managing partner) left the firm and the client relationship did not survive the transition.

When to use this tag:

- Primary contact or decision-maker departed and their replacement chose not to renew
- New hire came in with a pre-existing vendor preference or competitive relationship
- Relationship was effectively person-to-person rather than institutional — and the person left
- Multiple key contacts turned over in a short period and the account lost continuity

Do NOT use this tag if:

- The champion left AND the new person selected a specific competitor — still use Champion Departure; the competitive loss was downstream
- The firm reorganized broadly — consider M&A / Organizational Change if the structural change was the driver

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7. Poor Customer Experience

The client was dissatisfied with service delivery, support responsiveness, onboarding execution, advisor quality, or overall relationship management.

When to use this tag:

- Client cited slow response times, dropped balls, or unmet commitments
- Onboarding was rocky and the client never fully got off the ground
- Client felt their advisor was unresponsive, uninformed, or not adding value
- Policies were delivered late, generic, or not tailored to the client's actual situation
- Client felt Drawbridge was reactive rather than proactive throughout the relationship

Do NOT use this tag if:

- Client didn't use the product — that is more likely Insufficient Value Realized (adoption failure)
- Client chose a competitor on features/price — that is Lost to Competitor
- The issue was a single bad interaction rather than a pattern — escalate to VP before tagging

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Quick Decision Guide

When you're unsure, work through these questions in order:

Question	If YES	If NO
Did the client entity cease to exist (wind-down, liquidation)?	Business Wind-Down	Continue
Was the client acquired, merged, or subject to a PE mandate?	M&A / Org Change	Continue
Did a key decision-maker depart and the new person not renew?	Champion Departure	Continue
Is the client building an internal capability to replace us?	Brought In-House	Continue
Did the client select a specific named competitor?	Lost to Competitor	Continue
Did the client cite poor service, responsiveness, or delivery?	Poor Customer Experience	Continue
Default: did the client not see enough value or ROI to justify the cost?	Insufficient Value Realized	Escalate to VP

Completing the Win/Loss Description Field

The free-text Win/Loss Description field is required on every Closed Lost record. Minimum 2-3 sentences. Answer these three questions:

- What did the client say? (Direct quote or close paraphrase of their stated reason)
- What do you believe the actual reason was? (Your honest read — this may differ from the stated reason)
- What, if anything, could have changed the outcome?

Example: 'Client said they were going with a competitor that offered a lower price. My read is they never saw the ROI because they didn't complete the annual assessment or engage with the advisory team after onboarding. Better adoption support in months 3-6 could have changed this.'

Review Process

Tags are not final until reviewed with Chris in your 1:1. Here's how it works:

5. You close the opportunity in Salesforce, select the tag, and complete Win/Loss Description.
6. You flag the account in your weekly renewal forecast update with the tag you selected.
7. Chris reviews the tag and notes during your 1:1 — he may ask questions or suggest a different tag.
8. Once confirmed, the tag is final and feeds into exec reporting.

The review step is not about second-guessing your judgment — it's about ensuring consistency across the team so the data is meaningful. One RM's 'Lost to Competitor' should mean the same thing as another's.